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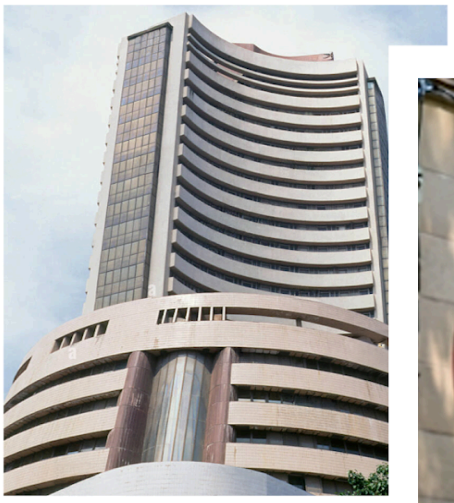
General Knowledge

Indian Economy

STUDY NOTES

Functions of Money

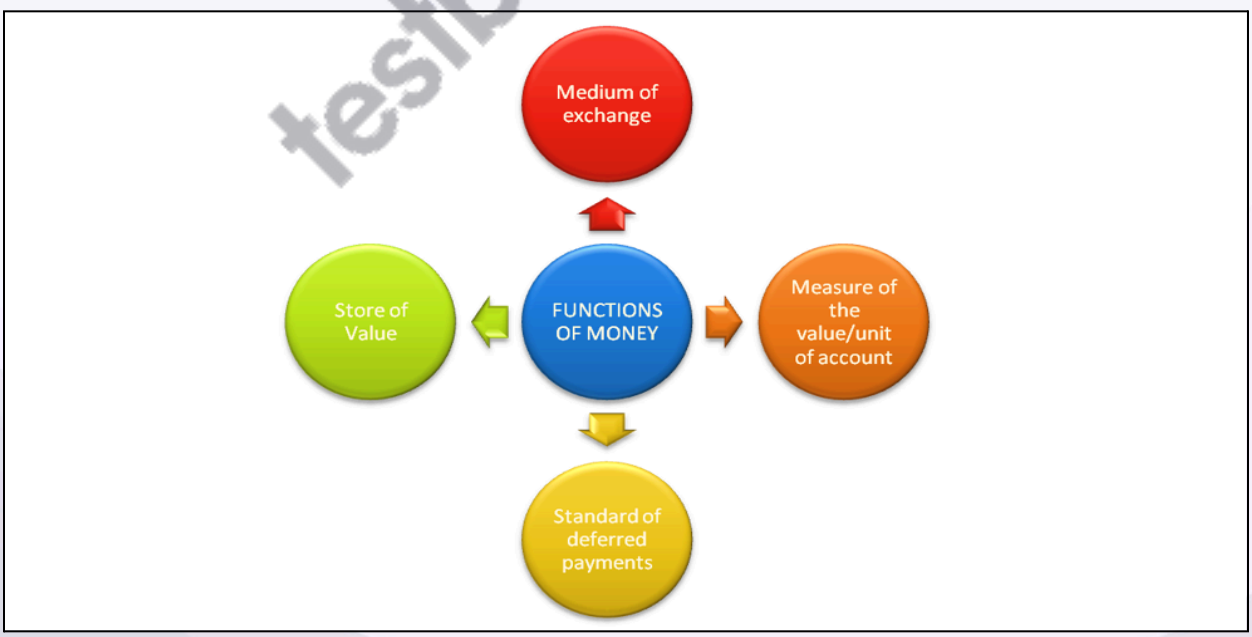


FUNCTIONS OF MONEY

Introduction

- Money is the commonly accepted **medium of exchange.**
- Economic exchanges without the mediation of money are referred to as **Barter Exchanges.**
    - However, they presume the rather improbable **double coincidence of wants.**
- In a world where economies are becoming increasingly complex, the role of money extends beyond mere currency; it encompasses various functions that contribute to economic stability and growth.
- From ancient times money in various forms has been used as a medium of exchange. For this exchange, money plays an important role. Money can be used in the form of currency, coins, shells, beads, stones etc.
- Currency is an alternative name for money, currency circulates in the economy. In the modern economic world, this currency circulates throughout the world from person to person or from one firm/organization to another and facilitates the trade and exchange of goods and services. Money is also a measure of wealth

Functions of Money



The four key functions of money and any additional modern functions.

Medium of Exchange:

- **Money serves as a medium of exchange, meaning it facilitates the buying and selling of goods and services.**
- Instead of bartering, where two parties must each want what the other offers, money simplifies the process by being universally accepted.
- For instance, you can buy groceries by exchanging money, whether cash or digital, instead of offering goods in return.

Unit of Account:

- Money also acts as a unit of account, which provides a consistent measure for valuing goods and services.
- This function allows people to compare the worth of different items.
- For example, a book priced at 100 Rs can be easily compared to a movie ticket priced at 80 Rs.
- Without money, determining the value of goods would be difficult.

Store of Value:

- Money works as a store of value, meaning it can retain its value over time.
- This allows people to save money and use it in the future without significant loss of value.
- For example, you can save 100 Rs today and expect it to hold similar purchasing power in a few months, unlike perishable goods like fruits or vegetables that spoil.

Standard of Deferred Payment:

- This function allows money to be used for transactions that involve payments in the future.
- This is important in credit and loan systems where goods or services are provided today, but the payment is made later.
- For instance, if you take out a loan, you agree to pay it back with money over time, which allows for trust in long-term transactions.

Additional Modern Functions:

- In today's economy, money also functions as a measure of value in digital markets and is considered highly liquid.
- Liquidity refers to how easily money can be converted into other assets or goods, making it essential for investment and trade in modern economies.

Categorization of Money

- **Fiat Money -** The money issued by the legal authority of an economy, such as coins and currency notes is termed as fiat money.
- **Fiduciary money -** The money which is backed by the trust between the two parties i.e. payer and payee, is termed as fiduciary money e.g. cheques issued by one party to another, promissory notes, etc.
- **Plastic money -** It is the term used for the plastic cards that were used in day-to-day life in place of the banknotes that are debit cards, credit cards, etc.
- **Hard money -** It is the form of currency that has more demand in the market and is termed as the hard currency like the dollar.
- **Soft money -** It is the form of currency that has less demand in the market is termed as the soft currency.
- **Commodity money-** It is the form of money that was used as a medium of exchange between buyer and seller as a commodity like agriculture products etc.
- **Reserve money -** It is the type of money that was maintained by the central banks of the country for foreign exchange and investments in the nation, it also covers the money of the government of the country maintained and reserved under the central banks of the country. It is called as high powered money.
- **Representative money -** It is the form of money that is saved in the form of certificates, or bonds that can be redeemed after a duration of time at a fixed amount or quantity

Digital Money

- **Digital money** is any currency in electronic form. Digital money is the new development of modern economic times.
- Digital money is **not tangible.** Digital money is exchanged using technologies such as smartphones, credit cards, and online cryptocurrency exchanges.

- With new technology becoming increasingly prominent, payments are becoming more digital with decreasing use of tangible money.
- Examples of digital money
  - Transactions through credit cards, debit cards: NEFT, RTGS, and IMPS
  - Payments made through UPI's
  - The digital wallets
  - Internet banking facilities
  - Micro ATM's
  - Banks Pre-paid cards
  - cryptocurrency like Bitcoin, Ethereum, Ripple, Litecoin

Difference Between NEFT, RTGS, and IMPS

Feature	NEFT (National Electronic Funds Transfer)	RTGS (Real Time Gross Settlement)	IMPS (Immediate Payment Service)
Transaction Speed	Batch-based, settlement happens in hourly intervals.	Instant, real-time settlement.	Instant, 24/7 availability.
Settlement Type	Deferred settlement (Batch).	Real-time, gross settlement (each transaction is processed individually).	Instant, real-time settlement.

Transaction Limit	No minimum limit; the Maximum limit varies by bank.	Minimum limit of ₹2 lakh; No upper limit.	The maximum limit depends on the bank (usually ₹2 lakh).
Availability	Available during bank working hours on weekdays.	Available during working hours on weekdays.	24/7, including holidays.
Fees	Low charges; vary by bank.	Higher charges due to real-time processing.	Typically low to moderate fees.
Type of Transactions	Domestic transfers.	Large-value domestic transfers.	Domestic transfers, including mobile.
Use Case	Routine payments such as bill payments or salary disbursements.	High-value payments between institutions or businesses.	Person-to-person payments, immediate transfers.
Accessibility	Through internet banking and mobile apps.	Through internet banking or bank branches.	Available through mobile apps and USSD codes.
Fund Transfer Mode	Electronic transfer of funds between accounts.	Direct, real-time transfer between accounts.	Instant mobile-based transfer using mobile numbers.

Central Bank Digital Currency (CBDC)

- **Central Bank Digital Currency (CBDC)** is a digital form of a country's fiat currency, issued and regulated by the central bank. Unlike cryptocurrencies, which are decentralized and operate on blockchain technology, CBDCs are centralized and represent a digital version of a country's official currency

Purpose of CBDC

- **Modernization of Payment Systems**: CBDCs aim to enhance the efficiency, speed, and security of the existing payment systems, enabling faster transactions.
- **Financial Inclusion**: They are designed to make financial services accessible to everyone, especially in areas where banking infrastructure is limited.

- **Combatting Cryptocurrencies**: CBDCs are a response to the growing use of private cryptocurrencies, offering a government-regulated alternative.
- **Monetary Policy Implementation**: They allow central banks to more directly control the money supply, interest rates, and inflation.

Money Supply

- Money supply is the total stock of money circulating in an economy.
- The circulating money includes printed notes, currency, and money in the deposit accounts and in the form of other liquid assets.
- Money supply includes notes, coins, bank deposits, cheques etc.
- Valuation and analysis of the money supply help economists and policymakers to frame the policy or alter the existing policy of increasing or reducing the supply of money.
- The valuation is important as it ultimately affects the business cycle and thereby affects the economy.
- RBI publishes figures for four alternative measures of money supply, viz. M1, M2, M3 and M4.
- They are defined as follows:
    - M1 = CU + DD.
    - M2 = M1 + Savings deposits with Post Office savings banks.
    - M3 = M1 + Net time deposits of commercial banks.
    - M4 = M3 + Total deposits with Post Office savings organizations (excluding National Savings Certificates).
- Where CU is currency (notes plus coins) held by the public and DD is net demand deposits held by commercial banks.
- The word 'net' implies that only deposits of the public held by the banks are to be included in the money supply.
- The interbank deposits, which a commercial bank holds in other commercial banks, are not to be regarded as part of the money supply.
- M1 and M2 are known as Narrow Money.
- M3 and M4 are known as Broad Money. These measures are in decreasing order of liquidity.
- M1 is the most liquid and easiest for transactions whereas M4 is the least liquid of all.
- M3 is the most commonly used measure of the money supply. It is also known as aggregate monetary resources.

Money Flow

- Money flow is the total amount of currency in circulation and is calculated by averaging the high, low and closing prices, and multiplying by the daily volume.
- Positive money flow indicates that prices are likely to move higher i.e. inflation, while negative money flow suggests prices are about to fall i.e. deflation.
- The money flow index (MFI)
    - It is an indicator that ranges from 0 to 100.
    - It is used to show the money flow.